CHAPTER 4

BUSINESS SERVICES

CHAPTER ESSENCE AT A GLANCE:
Analyze commercial business services: commercial banking mechanisms, digital e-banking, fundamental principles of insurance, life vs general insurance, and logistics support.

4 CORE PRINCIPLES TO UNDERSTAND FIRST

• **Service Sector Intangibility Invariants:** Business services are intangible, inseparable from the service provider, variable in delivery, non-storable (perishable inventory), and require customer involvement (the 5 Is).

• **Commercial Banking and Digital RTGS and NEFT:** Banks mobilize deposits and extend credit; digital banking provides Real Time Gross Settlement (instant high-value fund transfer) and National Electronic Funds Transfer.

• **Cardinal Insurance Principles:** Insurance rests on Utmost Good Faith (Uberrima Fides), Insurable Interest, Indemnity (restoring actual financial loss), Proximate Cause (Causa Proxima), Subrogation, Contribution, and Mitigation.

• **Life vs General Insurance Distinction:** Life insurance contracts are contracts of guarantee or investment rather than strict indemnity; fire and marine insurance contracts are contracts of pure financial indemnity.

ESSENTIAL FORMULAS & GOVERNING EQUATIONS

$$\text{Insurance Indemnity Claim} = \min(\text{Actual Financial Loss Incurred},\ \text{Total Insured Policy Sum})$$

Principle of Indemnity Compensation Rule

$$\text{Contribution Share of Insurer } A = \frac{\text{Sum Insured with Insurer } A}{\text{Total Combined Insured Sum}} \times \text{Actual Loss}$$

Double Insurance Pro-Rata Contribution Rule

$$\text{Banking Fund Transfer Modes} = \text{RTGS (Real Time Gross)} + \text{NEFT (Hourly Batches)}$$

Digital Commercial Settlement Taxonomy

$$\text{5 Is of Services} = \text{Intangibility} + \text{Inconsistency} + \text{Inseparability} + \text{Inventory-less} + \text{Involvement}$$

Foundational Service Marketing Attributes

CRUCIAL EXAM PRECAUTIONS & VALUATION RUBRIC SECRETS

• **Alert:** The principle of Indemnity does NOT apply to Life Insurance contracts; human life cannot be evaluated in money terms.

• **Alert:** In Life Insurance, insurable interest must exist at the time of taking the policy; in Marine Insurance, it must exist at the time of loss; in Fire Insurance, it must exist at both times.

• **Alert:** Subrogation transfers the legal rights of the damaged asset to the insurer only after the claim has been fully settled and paid.

HIGH-YIELD CENTUM QUESTIONS & STEP-BY-STEP EXPLANATIONS

1. State the 5 Is of business services that distinguish services from physical manufactured goods. [Score: 2 Marks]

Answer & Key Valuation Steps:

• **The 5 Is:** (1) Intangibility (cannot be touched or seen), (2) Inconsistency (variability in customer experience), (3) Inseparability (production and consumption occur simultaneously). **[1 Mark]**

• **Remaining 2:** (4) Inventory-less (perishable, cannot be stored for future sale), (5) Involvement (participation of the customer during service delivery). **[1 Mark]**

2. Distinguish between RTGS (Real Time Gross Settlement) and NEFT (National Electronic Funds Transfer). [Score: 2 Marks]

Answer & Key Valuation Steps:

• **RTGS:** Fund transfers are settled individually and continuously in real time with a minimum threshold limit of Rs 2,00,000. **[1 Mark]**

• **NEFT:** Fund transfers are processed in hourly batches throughout the day with zero minimum transaction threshold. **[1 Mark]**

3. Explain the Principle of Utmost Good Faith (Uberrima Fides) in insurance contracts. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Full Disclosure Requirement:** Both the insured and the insurer must enter into the contract with complete transparency and mutual trust. **[1 Mark]**

• **Material Facts:** The proposer must disclose all material facts known about the subject matter of insurance accurately. **[1 Mark]**

• **Consequences of Breach:** Concealment or misstatement of material facts renders the insurance policy voidable at the option of the insurer. **[1 Mark]**

4. Explain the Principle of Indemnity and state why it does not apply to life insurance. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Indemnity Objective:** To restore the insured, as far as possible, to the exact financial position enjoyed immediately before the loss occurred. **[1 Mark]**

• **No Commercial Profit:** The insured cannot recover more than the actual loss suffered; insurance is protection against loss, not a source of profit. **[1 Mark]**

• **Life Insurance Exemption:** Human life cannot be quantified in monetary terms; hence, life policies are contracts of guarantee to pay a fixed sum. **[1 Mark]**

5. Rajan insured his factory building with Company A for Rs 10,00,000 and with Company B for Rs 5,00,000. A fire damaged the factory, causing an actual loss of Rs 3,00,000. How much can Rajan recover from Company A and Company B under the Principle of Contribution? [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Principle of Contribution:** Multiple insurers share the actual loss pro-rata in proportion to their policy sums insured. Total Insured Sum = Rs 15,00,000. **[1 Mark]**

• **Company A Share:** (Rs 10,00,000 divided by Rs 15,00,000) * Rs 3,00,000 = Rs 2,00,000. **[1 Mark]**

• **Company B Share:** (Rs 5,00,000 divided by Rs 15,00,000) * Rs 3,00,000 = Rs 1,00,000. Rajan recovers exact loss of Rs 3,00,000. **[1 Mark]**

6. Explain the Principles of Subrogation and Proximate Cause (Causa Proxima) in insurance. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Subrogation:** After the insurer has compensated the insured for the full loss, all legal rights and residual ownership of the damaged property transfer automatically to the insurer. **[1.5 Marks]**

• **Proximate Cause:** When a loss is caused by multiple factors, only the nearest, most direct, and effective dominant cause is examined to determine whether the risk was covered. **[1.5 Marks]**

7. Distinguish between Life Insurance, Fire Insurance, and Marine Insurance on the basis of: Subject matter, Insurable interest timing, Indemnity application, and Policy duration. **[Score: 4 Marks]**

Answer & Key Valuation Steps:

• **Subject Matter:** Life insurance covers human life; Fire insurance covers physical buildings and merchandise; Marine insurance covers ship hull, cargo, and freight. **[1 Mark]**

• **Insurable Interest Timing:** Life requires interest at time of taking policy; Fire requires interest both at policy inception and time of loss; Marine requires interest strictly at time of loss. **[1 Mark]**

• **Principle of Indemnity:** Life is not a contract of indemnity (fixed agreed sum paid); Fire and Marine are strict contracts of indemnity (actual loss paid). **[1 Mark]**

• **Policy Duration:** Life insurance is a long-term contract (10 to 30 years or whole life); Fire and Marine policies are short-term (usually one year or a single voyage). **[1 Mark]**